

at $166\frac{2}{3}$, although in each case the amount of speculative interest equalled \$1,000 per bond. As it turned out, Ohio Copper stock advanced from less than \$1 a share in 1928 to $4\frac{7}{8}$ in 1929, making the bond worth close to 500% of par. It would have required a rise in the price of Atchison from 166 to 800 to yield the same profit on the convertible $4\frac{1}{2}$ s, but the highest price reached in 1929 was under 300.

In the case of *participating issues*, the extent of the profit-sharing interest would ordinarily be considered in terms of the amount of extra income that may conceivably be obtained as a result of the privilege. A limited extra payment (e.g., Bayuk Cigars, Inc., 7% Preferred, which may receive not more than 1% additional) is of course less attractive than an unlimited participation (e.g., White Rock Mineral Springs Company 5% Second Preferred, which received a total of $26\frac{1}{4}\%$ in 1930).

2 and 3. Closeness and Duration of the Privilege. The implications of the second and third factors in valuing a privilege are readily apparent. A privilege having a long period to run is in that respect more desirable than one expiring in a short time. The nearer the current price of the stock to the level at which conversion or subscription becomes profitable the more attractive does the privilege become. In the case of a participation feature, it is similarly desirable that the current dividends or earnings on the common stock should be close to the figure at which the extra distribution on the senior issue commences.

By "conversion price" is meant the price of the common stock equivalent to a price of 100 for the convertible issue. If a preferred stock is convertible into $1\frac{2}{3}$ as many shares of common, the conversion price of the common is therefore 60. The term "conversion parity," or "conversion level," may be used to designate that price of the common which is equivalent to a given quotation for the convertible issue, or *vice versa*. It can be found by multiplying the price of the convertible issue by the conversion price of the common. If the preferred stock just mentioned is selling at 90, the conversion parity of the common becomes $60 \times 90\% = 54$. This means that to a buyer of the preferred at 90 an advance in the common above 54 will create a realizable profit. Conversely, if the common sold at 66, one might say that the conversion parity of the preferred is 110.

The "closeness" of the privilege may be stated arithmetically as the ratio between the market price and the conversion parity of the common stock. In the foregoing example, if the common is selling at 54 and the